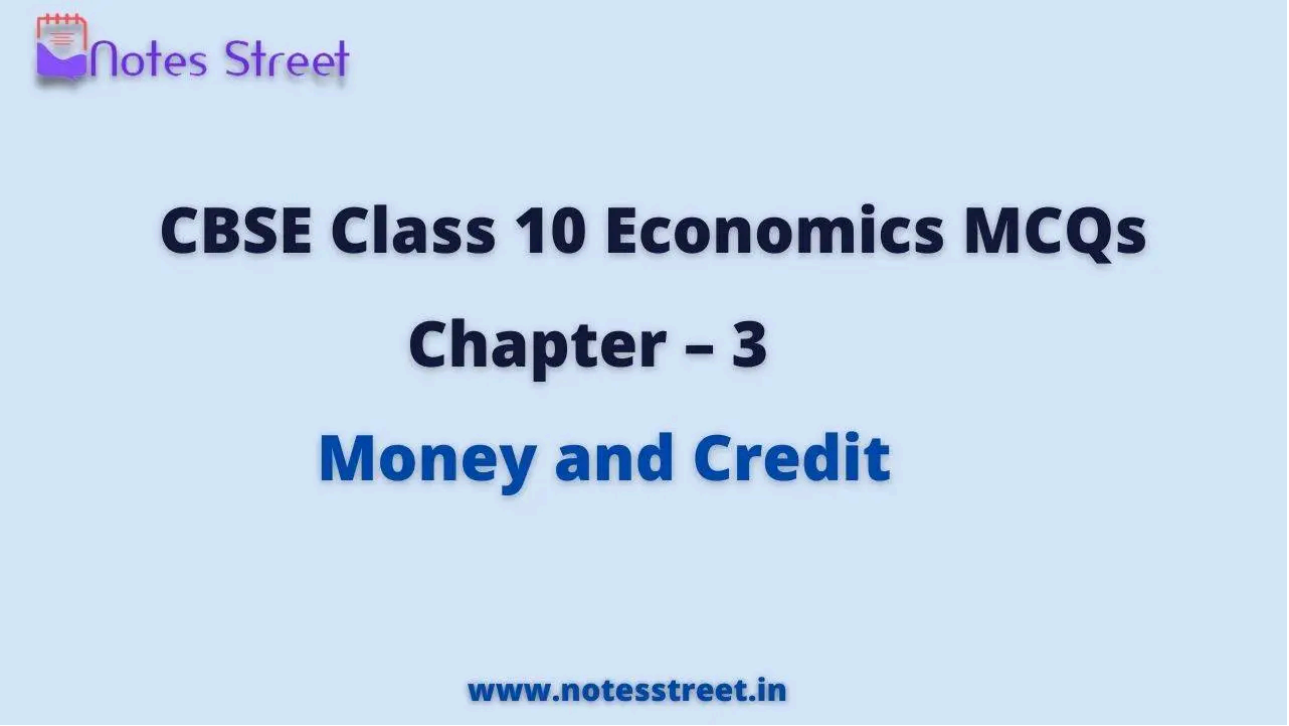

CBSE Class 10 Economics MCQs Chapter – 3 Money and Credit

CBSE Class 10 Economics MCQs

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CBSE Class 10 Economics MCQs Chapter – 3 Money and Credit

1. Which one of the following is a formal source of credit?

(A) Traders

(B) Cooperative societies

(C) Moneylenders

(D) Friends and relatives

Ans: (B)

2. In a SHG, most of the decisions regarding savings and loan activities are taken by:

(A) Bank

(B) Members

(C) Non-government organisation

(D) None of the above

Ans: (b)

3. Double coincidence of wants means _____.

(A) what a person desires to sell is exactly what the other person wishes to buy.

(B) what a person desires to sell is exactly what the other person also wishes to sell.

(C) what a person desires to buy is exactly what the other person also wishes to buy.

(D) None of the above.

Ans:-(A)

4. Formal sources of credit do not include :

(A) Banks

(B) Cooperatives

(C) Employers

(D) None of the above

Ans: (C)

5. Which one of the following is a modern form of currency?

(A) Paper notes

(B) Gold

(C) Silver

(D) Copper

Ans: (A)

6. Why do banks keep a small proportion of the deposits as cash with themselves ?

(A) To extend loan to the poor

(B) To extand loan facility

(C) To pay salary to their staff

(D) To pay the depositors who might come to withdraw money

Ans: (D)

7. In India, _____ issues currency notes on behalf of the Central Government.

(A) Reserve Bank of India (RBI)

(B) Ministry of Finance

(C) Finance Commission

(D) None of the above

Ans:-(A)

8. Which one of the following is the ne way of providing loans to the rural poor, particularly women?

(A) Cooperative Banks

(B) Grameen Banks

(C) Self-Help Groups

(D) Moneylenders

Ans: (C)

9. Which one of the following is a modern form of currency ?

(A) Gold

(B) Silver

(C) Copper

(D) Paper notes

Ans: (D)

10. Which of the following statements are true?

(A) As per Indian law, apart from RBI, no other individual or organisation is allowed to issue currency.

(B) The law legalises the use of rupee as a medium of payment that cannot be refused in settling transactions in India

(C) No individual in India can legally refuse a payment made in rupees.

(D) All of the above are true.

Ans: (D)

11. Which of the following is the main informal source of credit for rural households in India?

(A) Friends

(B) Relatives

(C) Landlords

(D) Moneylenders

Ans: (D)

12. The Informal source of credit does not include which one of the following ?

(A) Traders

(B) Friends

(C) Cooperative Societies

(D) Money-lenders

Ans: (C)

13. Banks in India these days hold about _____ of their deposits as cash.

(A) 25 percent

(B) 20 percent

(C) 15 percent

(D) 5 percent

Ans: (c)

14. Name the system in which the double coincidence of wants is an essential feature.

(A) Barter system

(B) Money economy

(C) Global economy

(D) None of these

Ans: (A)

15. Grameen Bank of Bangladesh was started in

(A) 1960s

(B) 1970s

(C) 1980s

(D) 1990s

Ans: (B)

16. Bank provide a higher rate of interest on which one of the following accounts ?

(A) Saving account

(B) Current account

(C) Fixed deposits for long period

(D) Fixed deposits for very short period

Ans: (C)

17. In a SHG, most of the decisions regarding loan activities are taken by

(A) Banks

(B) Members

(C) Non-government organisation

(D) Cooperative

Ans: (B)

18. In rural areas, the main demand for credit is for _____.

(A) purchasing land

(B) purchasing house

(C) medical expenses

(D) crop production

Ans: (D)

19. Which of the following is not an informal source of credit?

(A) Money-lender

(B) Relatives and Friends

(C) Commercial Banks

(D) Traders

Ans: (C)

20. Which of the following is an example of collateral?

(A) Livestocks

(B) Land

(C) Deposits with banks

(D) All of the above

Ans: (D)

21. In which country is the Grameen Bank meeting the credit needs of over 6 million poor people?

(A) Bhuta

(B) Sri Lanka

(C) Bangladesh

(D) Nepal

Ans: (c)

22. What are the different components of the terms of credit?

(A) Interest rate

(B) Documentation requirements

(C) Collateral

(D) All of the above

Ans: (D)

23. Which is not the main source of credit from the following for rural households in India?

(A) Traders

(B) Relatives and friends

(C) Commercial Banks

(D) Moneylanders

Ans: (A)

24. Which of the following statements are correct?

(A) Members of a cooperative pool their resources for cooperation in certain areas.

(B) Besides banks, the other major source of cheap credit in rural areas are the cooperative societies.

(C) There are several types of cooperatives possible such as farmers cooperatives, weavers cooperatives, industrial workers cooperatives.

(D) All of the above statements are true.

Ans: (D)

25. What portion of deposits are kept by the banks for their day to day transaction?

(A) 10%

(B) 15%

(C) 20%

(D) 25%

Ans: (B)

26. Which of the following are examples of the informal sector loans?

(A) Moneylenders

(B) Traders

(C) Cooperatives

(D) Only (A) and (b)

Ans: (D)

27. Which households take more loans from the formal sector?

(A) Poor households and rich household.

(B) Well off households and households with few assets.

(C) Poor households and well off households

(D) Well off households and rich households.

Ans: (D)

28. As of 2012, the major source of credit to the rural households in India was _____.

(A) Moneylenders.

(B) Commercial banks.

(C) Cooperative societies.

(D) Relatives and friends.

Ans:-(A)

29. Which among these is an essential feature of barter system?

(A) Money can easily exchange any commodity

(B) It is based on double co-incidence of wants

(C) It is generally accepted as a medium of exchange of goods with money

(D) It acts as a measure and store of value

Ans: (B)

30. Which of the following statements are false?

(A) There is no organisation which supervises the credit activities of lenders in the informal sector.

(B) RBI stops the money lenders from using unfair means to get their money back.

(C) Compared to the formal lenders, most of the informal lenders charges much lesser interest on loans

(D) Only (B) and (c)

Ans: (D)

31. Which one of the following is the main source of credit for the rich households?

(A) Informal

(B) Formal

(C) Both formal and informal

(D) Neither Formal nor informal

Ans: (B)

32. Which of the following statements are true?

(A) Periodically, banks do not submit information to the RBI on how much they are lending, to whom, at what interest rate, etc.

(B) The Reserve Bank of India does not supervise the functioning of formal sources of loans.

(C) The RBI monitors the banks in actually maintaining cash balance.

(D) None of the above statements are true.

Ans: (c)

33. Which one of the following is not a formal source of credit?

(A) Commercial Banks

(B) State Bank of India

(C) Employers

(D) Co-operatives

Ans: (C)

34. _____ of the loans taken by poor households in the urban areas are from informal sources.

(A) 85 percent

(B) 70 percent

(C) 65 percent

(D) 50 percent

Ans:-(A)

35. Which one of the following agencies issues currency notes on behalf of the government of India?

(A) Ministry of Finance

(B) Reserve Bank of India
(C) State Bank of India
(D) World Bank
Ans: (B)

36. _____ of the loans taken by rich households in the urban areas are from formal sources.
(A) 20 percent
(B) 10 percent
(C) 15 percent
(D) 90 percent
Ans: (D)

37. Formal Sources of credit include :
(A) money lenders
(B) co-operatives
(C) Employers
(D) Finance companies
Ans: (B)

38. _____ of the loans taken by well-off households in the urban areas are from formal sources.
(A) 54 percent
(B) 64 percent
(C) 72 percent
(D) 90 percent
Ans: (c)

39. Which one of the following is NOT an informal sector loans for poor rural household in India?
(A) Commercial Banks
(B) Moneylenders
(C) Traders
(D) Landlords
Ans: (A)

40. _____ of the loans taken by households with few assets in the urban areas are from informal sources.

(A) 72 percent

(B) 28 percent

(C) 53 percent

(D) 47 percent

Ans: (c)

41. Which one of the following is not a modern form of money?

(A) Demand Deposits

(B) Paper currency

(C) Coins

(D) Precious metals

Ans: (D)

42. Which of the following could lead to a debt trap?

(A) The high interest rate for borrowing can mean that the amount to be repaid is greater than the income of the borro.

(B) Higher cost of borrowing means a larger part of the earnings of the borros is used to repay the loan.

(C) The high interest rate for borrowing can mean that the amount to be repaid is lesser than the income of the borro.

(D) both (A) and (b.)

Ans: (D)

43. Identify the formal source of credit:

(A) Cooperative societies

(B) Moneylenders

(C) Traders

(D) Landlords

Ans: (A)

44. Who issues the currency notes in India?

(A) Currency notes are issued by the Finance Commission.

(B) All the nationalized banks can issue the currency notes.

(C) Only Reserve Bank of India can issue currency notes.

(D) Any individual or organization can issue cur¬rency notes with the permission of the govt.

Ans: (c)

45. Who helps the borros to overcome the problem of lack of collateral?

(A) Self-help group (SHG)

(B) State government

(C) Employers

(D) Moneylenders

Ans: (A)

46. Which among the following banks issues currency notes on behalf of the Central Government in India?

(A) RBI

(B) State Bank of India

(C) Bank of India

(D) Central Bank of India

Ans: (A)

47. Which of the following is not a modern form of money?

(A) Paper notes

(B) Demand deposits

(C) Silver coins

(D) None of the above

Ans: (C)

48. What do the banks do with the deposits which I they accept from the customers?

(A) Banks use these deposits for charitable activities.

(B) Banks use a major portion of deposits to extend loans.

(C) Banks use deposits to give bonus to their employees.

(D) Banks use deposits to set up more branches in the country.

Ans: (B)

49. Formal sources of credit include

(A) banks

(B) moneylenders

(C) employers
(D) all the above
Ans: (A)

50. What is the main source of income of a bank?
(A) Bank charges that the depositors pay for ; keeping their money safe is the main ; source of the bank's income.
(B) The difference between what is charged from the borros and paid to the depositors is the main source of bank's income.
(C) Banks earn huge amounts of money by investing the money of the depositors in various company shares.
(D) The Government of India gives huge amounts of money to the banks to help their smooth functioning.
Ans: (B)

51. Rate of interest charged by moneylenders as compared to that charged by banks is:
(A) lo
(B) same
(C) slightly higher
(D) much higher
Ans: (D)

52. An agreement in which the lender supplies the borro with money, goods or services in return for the promise of future payment refers to
(A) Debt
(B) Deposit
(C) Credit
(D) Collateral
Ans: (C)

53. Which state accounts for maximum percentage of SHGs (self-help groups) in bank credit?
(A) Andhra Pradesh
(B) Tamil Nadu
(C) Kerala
(D) Karnataka

Ans: (A)

54. Which body (authority) supervises the functioning of formal sources of loans?

(A) Finance Ministry

(B) Head Office of each Bank

(C) Reserve Bank

(D) Cooperative Societies

Ans: (C)

55. Who supervises the credit activities of lenders in the informal sector?

(A) Central Bank of India

(B) Commercial banks

(C) Moneylenders

(D) None

Ans: (D)

56. Money-lenders usually demand a 'security' from the borro. What is the formal word used for the 'security', such as land, vehicle, livestock, building, etc.?

(A) Deposit

(B) Collateral

(C) Credit

(D) Guarantee

Ans: (B)

57. At present which form of money is increasingly used apart from paper money?

(A) Commodity money

(B) Metallic money

(C) Plastic money

(D) All the above

Ans: (C)

58. Which among the following s will be the cheapest source of credit in rural areas?

(A) Bank

(B) Cooperative Society

(C) Money-lender

(D) Finance Company

Ans: (B)

59. Currency is issued in India by :

(A) commercial banks

(B) regional rural banks

(C) nationalised banks

(D) Reserve Bank of India

Ans: (D)

60. A typical Self Help Group usually has

(A) 100-200 members

(B) 50-100 members

(C) less than 10 members

(D) 15-20 members

Ans: (D)

61. The part of the total deposits which a bank keeps with itself in cash is

(A) zero

(B) a small proportion

(C) a big proportion

(D) 100 percent

Ans: (B)

62. System of exchanging goods for goods is called:

(A) monetary system

(B) credit system

(C) barter system

(D) exchange system

Ans: (C)

63. Why is currency accepted as a medium of exchange?

(A) Because the currency is authorised by the government of the country.

(B) Because it is liked by the people who use it.

(C) Because the use of currency has its origin in ancient times.

(D) Because the currency is authorised by the World Bank.

Ans: (A)

64. Money

(A) eliminates double-coincidence of wants
(B) acts as a common measure of value
(C) acts as a standard of deferred payments
(D) all the above
Ans: (D)

65. Which one of the following is the appropriate meaning of collateral?
(A) It is the sum total of money borrowed from banks.
(B) The amount borrowed from friends.
(C) It is an asset of the borro used as guarantee to a lender.
(D) The amount invested in a business.
Ans: (C)

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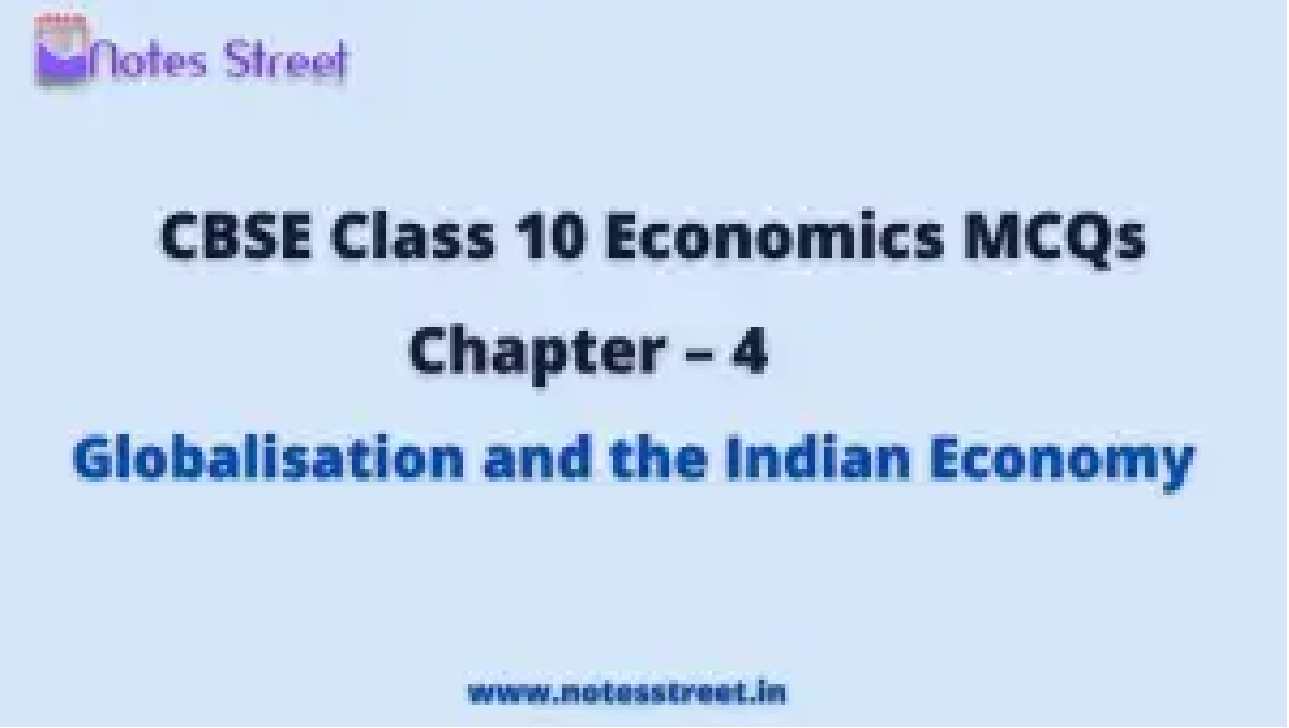

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